FTAI Aviation (NASDAQ: FTAI)

Long Recommendation (1-Year Target $309, +85%)

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A compounder still priced for a fraud.

FTAI AVIATION

$167

Share price (10/2/26)

$309

1-year target (+85%)

~5x

Reward-to-risk (+157% / –32%)

$161

Bear-case value ≈ today's price

I. Margins have bottomed at ~30%: the fraud unwind is <8% of inventory

II. FTAI catches the CFM56 work OEMs and airlines are sending out

III. Power is a free call option on the grid gap

Opportunity Summary – A Compounder Still Priced for a Fraud

The Set-up: A Short Report That Never Proved Out, and a Margin Reset That Looked Like Proof

1. **FTAI trades under a fraud overhang**: Muddy Waters (Jan-25) alleged depreciated leasing engines were moved into Aerospace inventory at book value, inflating margins; the stock fell 24% in a day. An audit-committee review found the claims without merit and nothing was restated, yet the discount never closed.

2. **The 1H26 reset looked like confirmation**: Aerospace margin fell ~500 bps in one quarter and management swapped its 40% target for ~30%. The market read it as the cheap leasing stock running out – the short thesis finally unwinding – and the stock now sits ~48% below its $324 high at 9.2x FY27E EBITDA.

We believe the reset is a choice, not a confession – and place three trackable bets on FTAI.

Two observations underpin our theses: (i) even if the bears were right, leasing-sourced engines are <8% of inventory and (ii) the CFM56 aftermarket is supply-constrained, so FTAI chose volume over margin.

1. **Margins have bottomed at ~30%:** Q1'26 leasing transfers were $90M against ~$1.4bn of inventory, and engines now flow the other way. Heavy-scope mix is capped by shop capacity, and PMA enters through SCI, where FTAI is the lessor. Two more ~30% prints prove the trough.

2. **FTAI takes the CFM56 whitespace to ~25% share:** OEMs and MROs are moving capacity to LEAP while LEAP problems keep CFM56s flying. FTAI's 3,000-module capacity is already built; Jakarta and Cairo ramp in 2027.

3. **Power is a free call option:** a signed $1.465bn order; the grid falls 8–47 GW short from 2029 and many campuses sit at the stage the first buyer was. Today's price pays nothing for it.

All we need is for margins to hold ~30% for two more prints. At $167 the market pays for our bear case; we see $309 in a year, 85% upside, with ~5x reward-to-risk.[1]

Source: Company Filings, Muddy Waters Research (Jan-25), Earnings Calls, Bloomberg

1. 1-year base-case sum of the parts (Oct-27); reward-to-risk = bull upside (+157%) / bear downside (–32%).

Business Overview – A Module Factory Scaling Through a Margin Reset

($ in millions)

FTAI offers 1) a CFM56 aftermarket business still winning share, 2) an asset-light leasing arm that feeds it, and 3) a new Power segment

Business Segments

1) Aerospace Products (77% of FY25 Revenue, 52% of Segment EBITDA[1]):

- Swaps restored fan, core and LPT modules from its own pool: engines back in 5–25 days vs. 120–180 at a shop
- Feedstock is run-out engines bought from airlines, lessors and SCI; also sells used serviceable parts
- 757 modules (FY25) → 1,200 (FY26E) → 1,700 (FY27E); CFM56 module share ~10% → 14% in 1H26[2]
- Margin reset from ~35% to ~30% in 1H26 on heavier workscopes and large airline deals (United)

2) Aviation Leasing + SCI (23% of FY25 Revenue, 48% of Segment EBITDA):

- Going asset-light: aircraft sold into SCI, an FTAI-sponsored fund ($2.0bn equity, ~$6bn buying power)
- FTAI services SCI's fleet and receives all of its engine work: SCI grows from 130 to ~316 aircraft by YE26E

3) FTAI Power (launched Dec-25; $450–750M FY27 EBITDA guidance):

- Converts CFM56 cores into 25 MW "Mod-1" gas turbines (~$1M per MW) sold as bridge power to AI data centers
- First order $1.465bn (Jul-26) via J&F, FTAI's JV with Jereh; delivered in batches through Nov-27

Key Aerospace Financials (FY25)	
Aerospace Revenue	**$1,936**
FY26E Revenue Growth (%)	*79.4%*
Aerospace Adj. EBITDA	**$671**
EBITDA Margin (%)	*34.7%*
Q2'26 EBITDA Margin (%)	*28.5%*
Modules Produced	**757**
FY26E Guidance	*1,200*

Cap Table	
Share Price (As of 10/2/26)	$167.03
(x) Diluted Shares	104.0
Market Cap	**$17,378**
(+) Total Debt	3,453
(–) Cash	(337)
(+) Preferred Equity	65
Enterprise Value	**$20,560**
EV / FY26E Adj. EBITDA	15.7x
EV / FY27E Adj. EBITDA	9.2x

Earnings Algorithm for Aerospace Products

Module Demand × FTAI Share × Revenue per Module × EBITDA Margin

[Fleet × Shop-Visit Rate × 3] × [3rd-Party Share + SCI Captive] × [Price + OEM Escalator] × [Mix + Feedstock + PMA]

Industry Demand | **Thesis II: Share** | **Pricing** | **Thesis I: Margin**

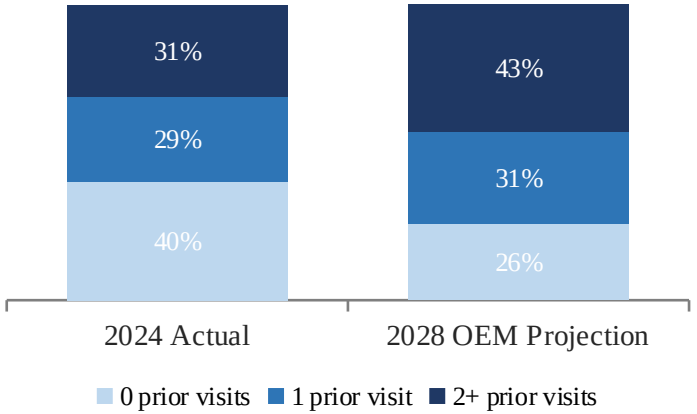
Source: Company Filings, Earnings Calls, Investor Presentation

1. Segment EBITDA mix excludes Corporate & Other.
2. Module share of CFM56 third-party module demand, per management (Q2'26).

Industry Overview – A Price-Taking Aftermarket Entering Its Heaviest Years

The CFM56 aftermarket is aging into heavier visits, with flat demand through 2028 and repair prices compounding ~6% a year. FTAI chose share over margin in 1H26 – a deliberate reset the market reads as structural.

The CFM56 fleet is aging into repeat, heavier visits...



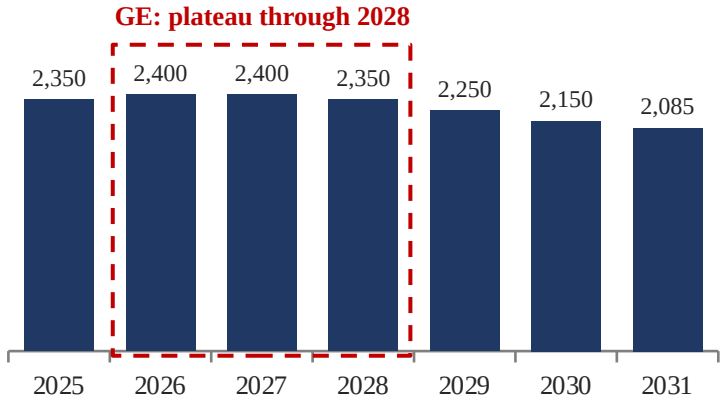
22,700

CFM56-5B/-7B engines in service: the largest fleet in aviation

43%

of the fleet on its third or later visit by 2028, when full restorations dominate

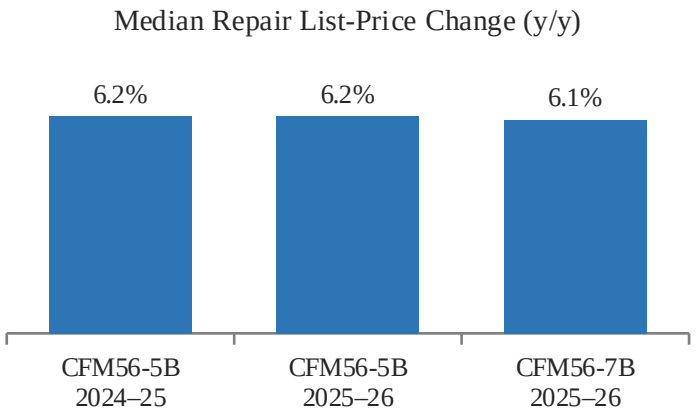
... keeping shop-visit demand flat through 2028...



Retirements running 1.5–2% vs. GE's 2–3% assumption

LEAP durability fixes cut over only in early 2027; GTF groundings persist

... while third-party repair prices compound ~6% a year...

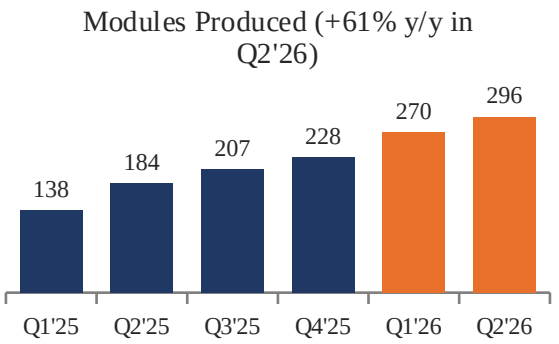


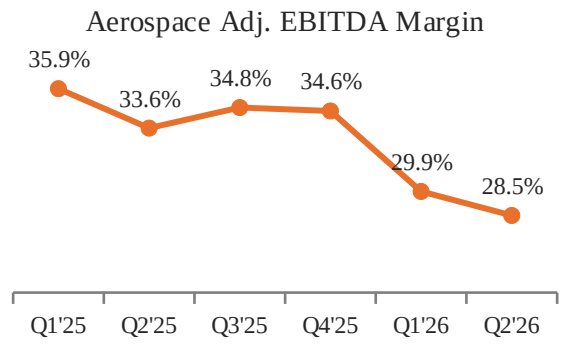
Of 3,404 matched repair packages, 3,376 rose and only 1 fell

FTAI prices below OEM and has not passed through the escalator: headroom we model from FY28

However, FTAI deliberately traded margin for share in 1H26.

"We're inclined to say yes and take market share." – FTAI CEO, Q2'26 Earnings Call





Source: GE / Safran shop-visit outlook & cohort data, Aviation Week, SR Technics CFM56 catalogues (2024–26), Company Filings

The Story: The Fraud Discount Frames Our Three Bets

Consensus FTAI Story

FTAI's margins were flattered by the fraud. Now that it is unwinding:

1. The ~500 bps reset is the short thesis unwinding: cheap leasing engines are running out, and heavier workscopes push margin below 30%.
2. The CFM56 is a melting ice cube: the fuel shock accelerates retirements and FTAI's share gains stall at ~15%.
3. Power is a press release: one unnamed buyer, no deliveries until 2027 and no proof FTAI can ramp units.

Thus, consensus prices a fraud discount on a shrinking business: 9.2x FY27E EBITDA.

Why consensus misses our points

We did the work the market skipped:

1. The market never sized the claim. We traced leasing-to-inventory transfers in the 10-Qs: $90M vs. ~$1.4bn of inventory, and the flow now runs the other way.
2. The street models retirements off assumptions. GE's own 2026 data shows 1.5–2%, and OEMs are moving slots to LEAP, leaving visits to FTAI.
3. Power is valued off one order. We built a NERC reserve-shortfall model and a site-level next-order model across 37 AI campuses.

Diligence: 10-Q cash-flow footnotes, GE retirement data, SR Technics catalogues, NERC LTRA, site permits.

Our FTAI Story

The reset is a choice to win share in a supply-constrained market.

1. ~30% is the floor, not a waypoint: heavy mix is capped by capacity, PMA enters through SCI, and price pass-through rebuilds margin to 32.5%.
2. FTAI fills the whitespace OEMs leave behind: built capacity and partner shops take it to ~25% of CFM56 module demand incl. SCI.
3. Power is a call option: we see ~75% odds of another order in 12 months (61% ex-xAI); one more contract is worth ~$35/share.

Catalysts: Q3'26 (late Oct), investor day (10-Dec), Q4'26 print and FY27 guide (Feb-27).

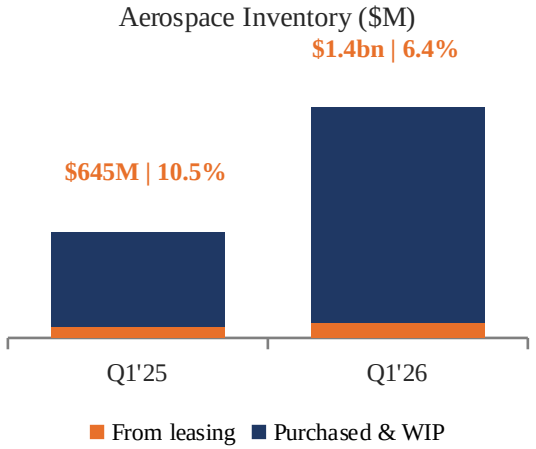
Taking the other side of the fraud discount is a highly attractive proposition: two more ~30% prints prove the trough. Our bets playing out yield $309 in a year, 85% upside.

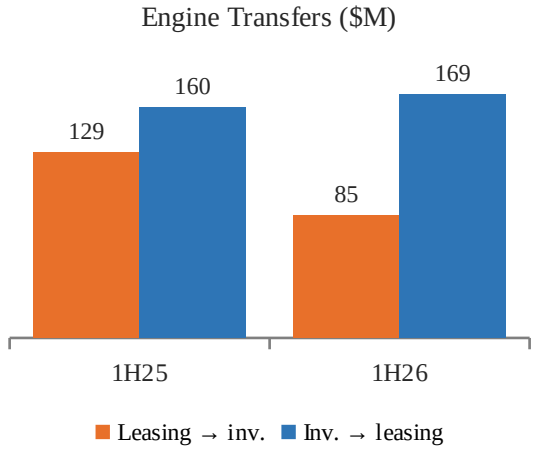
Thesis I: Variance on Margins – The Unwind Is Done and Heavy Mix Has Peaked

Bears read the 1H26 reset as the fraud unwinding; the 10-Qs show leasing-sourced stock is <8% of inventory.

"AP inventory has been largely comprised of depreciated Leasing Equipment", producing margins ~10 pts above peers. – Muddy Waters, Jan-25

- **Small:** Q1'26 leasing-to-inventory transfers were $89.6M vs. ~$1.4bn of inventory (6.4%), down from 10.5% a year earlier as purchased feedstock scaled
- **Reversing:** $169M moved back from inventory to leasing in 1H26 for rebuild and sale – more than came in
- **Shrinking source:** leasing equipment fell $2.06bn → $1.53bn (Dec-25 → Jun-26) as aircraft are sold into SCI
- **Bought at market:** new feedstock comes from United run-outs (Oct-26 MRE), WestJet 737-700s (Sep-26) and AAR used parts
- **Already in the bear case:** 6.4% × ~40% cost edge × ~55% material ≈ ~140 bps of margin[1]; audit review found the claims without merit

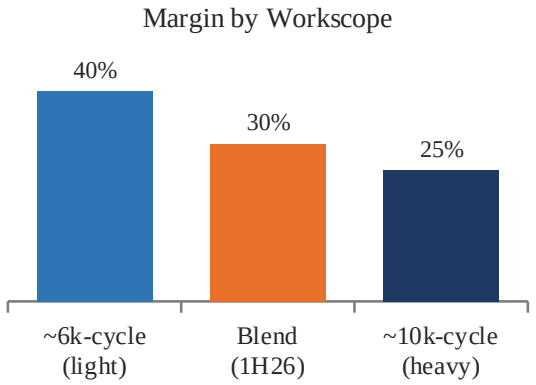




With the unwind done, the reset is workscope mix – and the shift to heavy work has peaked.

~6,000-cycle engine ~40%, ~10,000-cycle ~25%, blend ~30%: "similar dollars per engine, but more investment." – FTAI CEO, Q2'26[2]

- **Capacity-capped:** heavy jobs need core disassembly and test cells (~50% of visits open the core); Jakarta's heavy shop only adds capacity from 2027
- **No incentive:** heavy work was the price of winning airline contracts – United is signed (V2500 exchange, then CFM56-7B MRE), so more heavy jobs add capital, not customers
- **FTAI chooses:** "supply-constrained, not demand-constrained" (Q2'26) – it turns work away; the 2027 plan targets volume (1,700 modules), not heavier jobs
- **Slow fleet drift:** visits needing broader work rise only 48% → 52% by FY30; the 1H26 step-change was a one-quarter mix shift



Mix back to light = margin

Light share	Margin
33% (1H26)	30.0%
40%	31.0%
50%	32.5%
60%	34.0%

Each 10 pts of mix back to light adds ~1.5 pts; our base case assumes none

Even granting the short thesis, it is <8% of the stock – and heavy mix is capacity-capped: ~30% is the floor, not a waypoint.

Source: 10-Q disclosures, Muddy Waters, Earnings Calls, In Practise, OEM cohort data

1. Illustrative: stock share × cost edge vs. market feedstock × material share of revenue. 1H26 transfers per Q2'26 10-Q summary.
2. Paraphrase of the CEO's cycle/margin example; quoted phrase per call summary.

Thesis I: Variance on Margins – PMA Through SCI and Two Prints Re-Rate the Trough

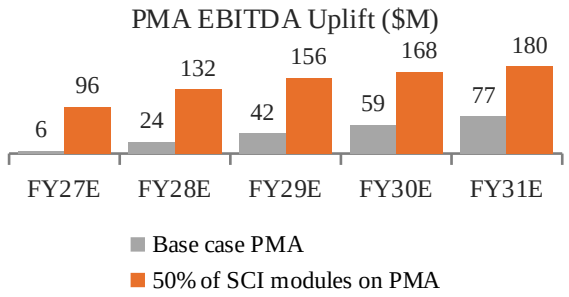
The market prices ~0% PMA and reads 30% as a waypoint; FTAI controls its own PMA channel and only needs 30% to hold.

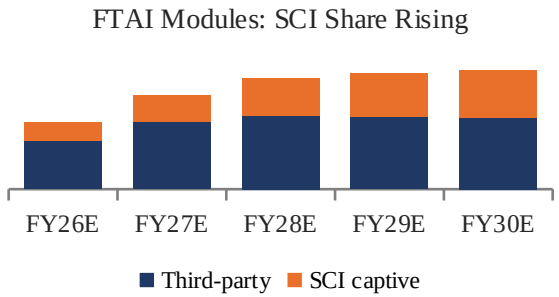
PMA: at SCI, FTAI is the lessor that says yes

PMA hesitation sits mainly with lessors – conformity, residual values, return conditions – though it is "softening." – AviTrader, May-26

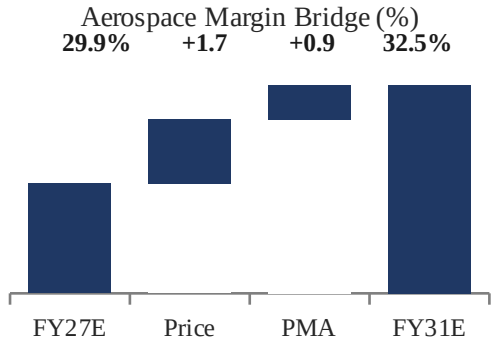
FTAI sponsors SCI $2.0bn equity ▸ **SCI owns the jets** SCI is the lessor ▸ **Engine work → FTAI** FTAI is servicer ▸ **FTAI sets parts policy** no outside consent

- **Program built:** Chromalloy has 3 of 5 CFM56 hot-section PMA parts approved, incl. the HPT blade (Oct-25, >7 yrs, >$100M); "80% of the savings come from the first three parts" (Chromalloy CEO)
- **Captive channel:** SCI grows from 11% to ~40% of FTAI's modules (130 → 700 aircraft) – ~4x our base-case PMA penetration, no outside lessor needed
- **Worth:** 50% of SCI modules on PMA at $0.4M each = ~$130M of FY28 EBITDA (~2.1 pts of margin, ~$20 / share)
- **Diligence:** SCI's LP / lender terms on PMA are not disclosed





Price and PMA rebuild margin; two prints prove the trough



- **Price:** repair catalogues rose a median 6.2% / yr across 3,404 matched packages (3,376 up, 1 down); FTAI priced below OEM to win share – we pass through half from FY28
- **Per module:** EBITDA $913K → $1,139K (FY27E → FY31E)
- **No mix recovery** and no outside-lessor PMA in the base case

Q3'26 | Oct	First print after the reset: Aerospace margin ≥~30%, modules on track for 1,200, PMA usage
Inv. day | 10-Dec	2027 framework: 1,700 modules, Jakarta / Cairo ramp, SCI II size, Power backlog
Q4'26 | Feb-27	Second ~30% print + FY27 guide: 30% stops reading as a waypoint

What $167 implies for Aerospace

Aero EV / NTM EBITDA (Oct-27)	5.3x	10x	12x	14x
Implied price / share[1]	**$167**	$244	$277	**$309**
Upside vs. $167	–	+46%	+66%	+85%

On base earnings, $167 pays only ~5x for Aerospace a year out; each turn ≈ $16 / share.

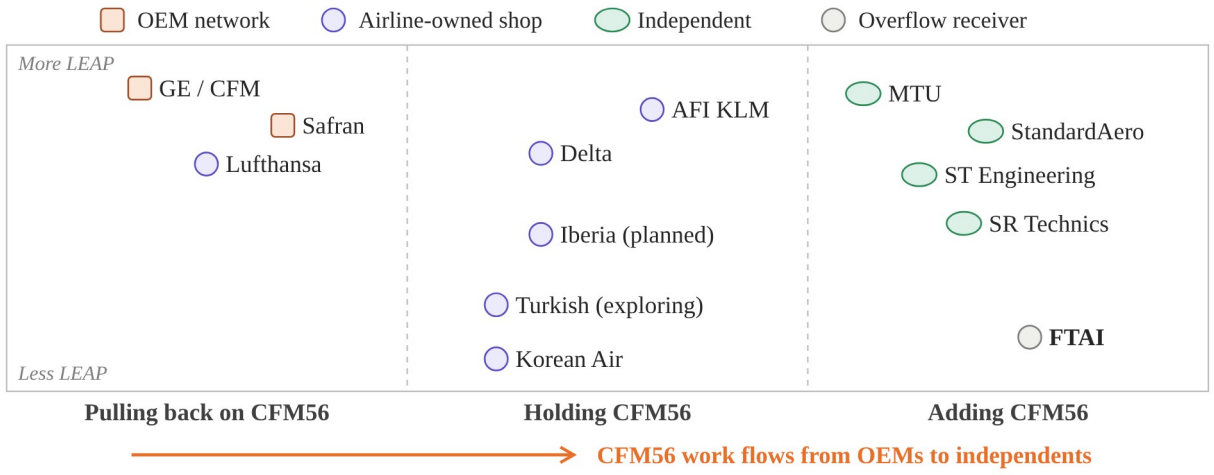
PMA through SCI and price pass-through rebuild margin to 32.5%; two ~30% prints re-rate a business priced at ~5x.

Source: Chromalloy / FAA, Aviation Week, AviTrader, SR Technics catalogues, FTAI filings

1. 1-yr base SOTP (NTM ≈ ¼ FY27E + ¾ FY28E), holding Power 10x, Leasing + SCI 9x and Sep-27 net debt.

Thesis II: Variance on CFM56 Life – LEAP Can't Replace It and Fuel Hasn't Moved It

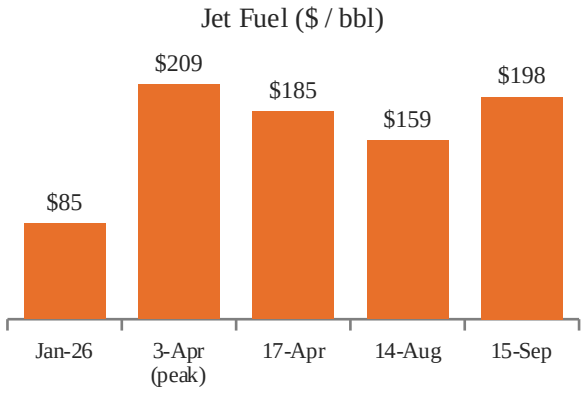
Every tier-1 shop is adding LEAP; OEMs are trimming CFM56, independents are catching it, and Lufthansa now sends its own out.

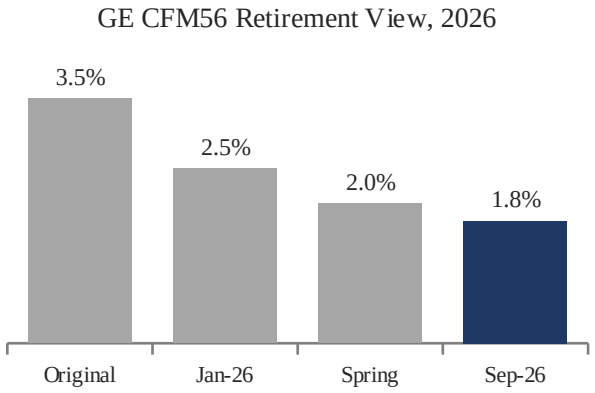


Shops (14)	Reviewed	Add LEAP	Pull back CFM56	Win CFM56 work
Airline-owned	8	8	1	3
OEM network	2	2	1	2
Independent	4	4	–	4

- **OEMs:** all new sites LEAP-only (Brazil, India, Mexico, Belgium); CFM gives up Ryanair CFM56 labor from 2029 – its largest CFM56 account – keeping only parts
- **First airline flip:** Lufthansa Group sends its own CFM56 to FL Technics (Oct-26) as Hamburg turns LEAP
- **Moving to independents:** EVA Air → MTU (first non-OEM, May-26); United → FTAI CFM56-7B MRE (Oct-26)
- **Counter:** Korean Air keeps CFM56, outsources LEAP; independents add CFM56 too – overflow is real, but contested[1]

Bears fear the 2026 fuel shock accelerates retirements – the data shows parked CFM56s falling, not rising.





- **Parked CFM56s down since March:** "no meaningful change in customer behavior" – GE CEO, Jul-26; Safran H1 spares up 27.9% on CFM56; Q1 retirements <1%
- **Airlines trimmed growth and hedged, not parked:** United –5%, Delta –3.5% growth; Ryanair 80% hedged at ~$67
- **Replacing an NG on fuel alone** breaks even only at a sustained $170–200 / bbl – and needs a slot that isn't there[3]
- **History:** 2022 fuel +95–150%, retirements only 325 vs. 502 in 2019

Bear watch: all-type retirements +15% in 9M26 (low base), Spirit's ~57 A320ceos back to lessors, GE sees ~3% in 2027 – retirements also feed FTAI's feedstock

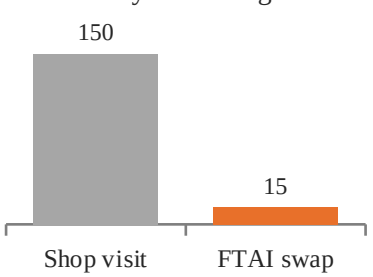
LEAP can't replace the CFM56 before 2027–28 and fuel hasn't moved retirements: demand holds at ~2,400 visits a year.

Source: Company Releases, GE / Safran, IATA / Platts, Aviation Week

1. Flip tracker (14 tier-1 shops, Oct-26): public sources; a floor.
2. Fuel: IATA / Platts avg.; Jan, 15-Sep USGC.
3. Estimate: 15% fuel saving vs. $2–2.6M / yr MAX lease premium.

Thesis II: Variance on Share – FTAI Fills the Whitespace With Capacity Already Built

FTAI takes the CFM56 visits the LEAP-focused shops can't turn fast enough: an engine back in weeks, not months.



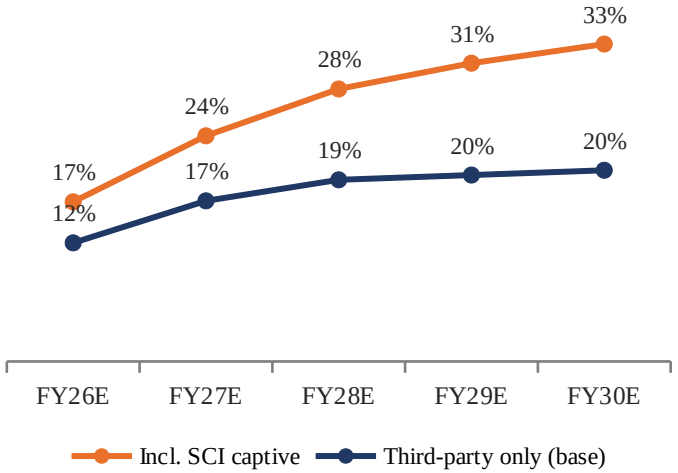
Test cells: LEAP now shares CFM56's scarcest slot[1]

Engine test cells tracked (18)	Cells
Existing cells adapted to test LEAP	**9**
...still testing CFM56 (where disclosed)	4 of 4
...dropped CFM56	**0**
New cells built for LEAP	7
New cell built first for CFM56 (Willis + GEM)	**1**

"Ongoing shortage of testing capacity" – Willis Lease; "Europe-wide testing capacity constraints" – SR Technics

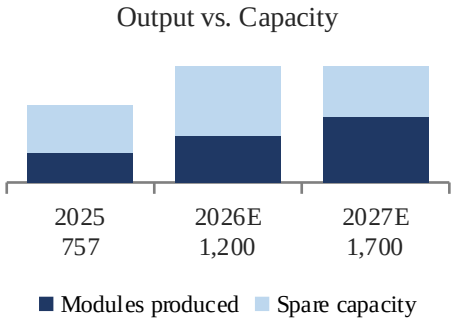
Edge	FTAI	OEM / large MRO shops
Feedstock	1,000+ owned engines; run-outs; AAR USM	OEM parts at list (+6% / yr)
Parts	PMA (3 of 5), USM, in-house repair	HPT blade shortage; OEM parts only
Slots	~1,800 spare modules (2026)	Waits +2–6 mo.; capex to LEAP
Test	Rome adding a cell; Jakarta, Cairo come with cells	LEAP competes for same cells

FTAI's share of CFM56 module demand



- **Proof:** share ~10% → 12% → 14% in 1H26; Q2 modules up 61% y/y
- **Guide raised twice:** 1,000 → 1,050 → 1,200 (2026); 1,700 in 2027
- **United** expanded to a multi-year CFM56-7B MRE (Oct-26)
- Bull case: third-party alone reaches 25% by FY31

The capex is already spent: 3,000 modules of capacity vs. 1,200 produced, with Jakarta and Cairo adding volume in 2027.



Shop	Role
Montreal / Miami	Core module shops
Rome	QuickTurn; adding test cell
Lisbon	+113k sq ft; 300+ modules
Jakarta (GMF)	**Heavy repair; 200+ techs; 5-yr deal (Sep-26)**
Cairo (EgyptAir)	**-7B; ~120 techs; test cell**

2,386	× 3	× 16.8%	+ 482	= 1,687
visits	modules	3rd-party share	SCI	FY27E

- **Partner-funded growth:** Jakarta and Cairo are partner shops with guaranteed capacity – volume adds need working capital, not new buildings
- **Each +1 pt of third-party share** ≈ 70 modules ≈ $65M EBITDA ≈ $10 / share at 16x
- **Downside covered:** independents (StandardAero, ST Eng., SRT, MTU) also chase the overflow; our bear case caps share at 15% and still yields $173

With slots built and partners funding new shops, FTAI reaches ~25% of CFM56 module demand; each point of share is ~$10 / share.

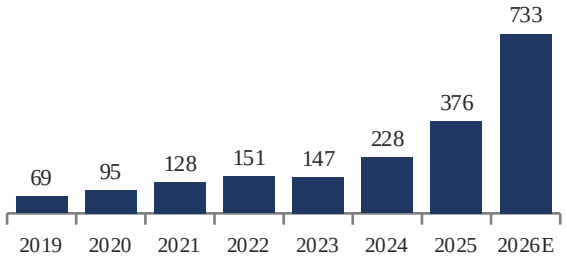
Source: FTAI Calls and Supplement, United / FTAI (Oct-26), GMF / FTAI (Sep-26), Willis Lease, SR Technics, In Practise

1. Test cell tracker (18 cells, Oct-26); no public case of a cell dropping CFM56 for LEAP.
2. Physical capacity 2,000 (2025) and 3,000 modules (from Q2'26) per management.

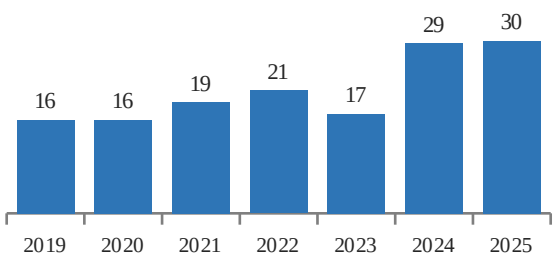
Thesis III: Variance on Power – The Grid Gap Is Where the First Order Came From

Hyperscaler capex is outrunning contracted power – and NERC reserves go short from 2029.

Big Four Capex ($bn)



US Corporate PPAs Signed (GW)



- Capex and PPAs tracked each other for a decade (0.89 correlation); in 2025 capex rose 65% while PPAs were flat at ~29.5 GW
- **Our build:** $733bn × 65% US × 25% facility ÷ $12M / MW ≈ 9.9 GW of shells funded in 2026 alone

Reserve Shortfall (GW)



- US DC demand 298 → 746 TWh (2026–31)
- ERCOT large-load queue ~475 GW, 90% data centers
- PJM auctions cleared ~6.8 GW short (2028/29)
- Grid interconnection: median >5 yrs
- OEM gas-turbine backlog ~220 GW; new slots 2028 onward

~57% of hyperscaler power contracted lands 2029 or later – a 2–3 year gap only fast, on-site generation can fill

The $1.465bn first order came from a site at exactly that stage: built, energized on mobile gas, and out of turbines.

Term	The order (22-Jul-26)
Seller	J&F Power Systems (FTAI × Jereh JV)
Buyer	"Leading international cloud provider" – reported xAI
Size	$1.465bn initial PO; 5-yr MSA, re-order w/o renegotiation
Implied	~58 Mod-1 units at ~$25M ≈ 1.45 GW
Delivery	Batches through Nov-27; advance + milestone pay

What "the xAI stage" looked like (Colossus 2 / Southaven)

1	**Shell built, GPUs committed**	~1 GW live Jan-26; $20bn Southaven DC under way
2	**No grid for the next phase**	MLGW supplies no power to Colossus 2; no TVA allocation
3	**Behind-the-meter gas permitted**	41 turbines (~1.2 GW) permitted Mar-26; gas lateral in place
4	**Incumbent supply tapped out**	Solaris ~900 MW fleet committed; OEM aero slots 2028 onward

Diligence flag: FTAI hasn't named the buyer; the xAI link rests on Jereh gensets on the Southaven equipment list (CV Research). The order is signed either way.

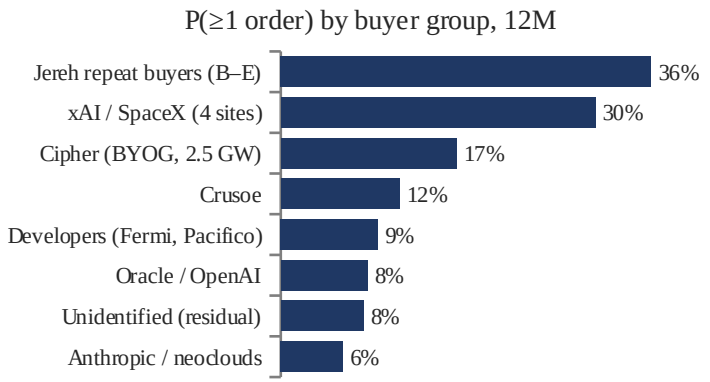
The grid falls 8–47 GW short from 2029; sites at the first buyer's stage need power in 2027–28 that only mobile units can deliver.

Source: Company filings (AMZN, GOOGL, META, MSFT), BCSE / BNEF, NERC 2025 LTRA, ERCOT, PJM, FTAI release (22-Jul-26), MDEQ, DCD, SemiAnalysis

1. Regional model: NERC demand vs. anticipated capacity + 67 tracked hyperscaler power agreements.

Thesis III: Variance on Power – A Pipeline at the First Buyer's Stage and a Right to Win

Our site-level model puts the odds of another J&F order within 12 months at ~75% – and ~61% from a buyer other than xAI.



75% — 60/40 blend: site-level 71%, top-down 82% (56–97%)

61% — From a customer other than xAI – the option is not one buyer

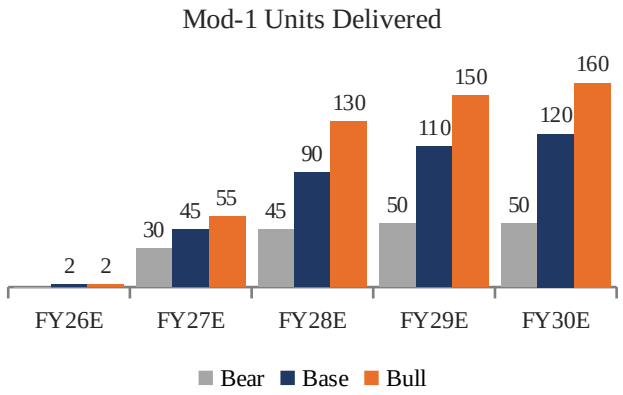
51–71 — 2027 Mod-1 units left after the first order: room for 1–3+ more

Top-down: Jereh wins ~4 DC orders / yr × 45% routed to J&F × 95% disclosed → λ ≈ 1.7.

Most likely next buyers	Why the gap is open	p	Gap MW
Cipher BYOG sites (TX)	2.5 GW of gas laterals; generator not selected	15%	600
xAI Minihard (Memphis)	4th DC, 2027 load; power source undisclosed	12%	350
Jereh buyers C / D / E	~$820M of 2027 gensets; repeat via packager	11% ea.	550
xAI Southaven	69 temp turbines retire Aug-26 to Jul-27	11%	575
xAI Doosan frame sites	Bridge power until 2027–28 combined cycle	9%	500
Crusoe Abilene (Microsoft)	Cancelled 1.2 GW Boom order 25-Sep-26	8%	250
Fermi Matador (TensorWave)	222 MW lease from H2-27; leased TM2500s	7%	214

Locked out: Jupiter → Bloom; Frontier → VoltaGrid; Prometheus → Williams; Kilby, Homer City → GE 7HA. Typical non-xAI Jereh order: $100–341M (3–11 units).

FTAI can roll units faster than the street models – and its units are cheap, available now and mobile.



- **Feedstock in hand:** 1,000+ owned CFM56s; no new hot section
- **Capacity:** 100+ units / yr; ~$400M of Power WC built / planned
- **Packaging outsourced** to Jereh (US, Canada, UAE, China)
- **Base 45 units FY27** < the ~58 implied by the signed order; mgmt's $450M assumes "materially less" than 100
- **Path:** launch Dec-25 → prototype 1H26 → order Jul-26 → first deliveries 2027

Supplier	Earliest slot	$ / kW
FTAI Mod-1	**2027**	**~$1,000**
GE Vernova aeros	2028–30	$1,400–2,000
MHI / Siemens frames	2028–30 / 3+ yrs	~$2,000+
Boom (Crusoe exited)	250 MW 2027	~$1,030

- Turbines ≈ 13% of shell cost (~2% all-in)
- Idle AI site ≈ $1M / MW / month → a $1M/MW unit pays back in ~1 month
- **Mobile:** redeploys when the grid arrives

FY27E	Units	Power EBITDA	Value @ 12x
Signed order only	45	$450M	$52 / sh
+1 contract (~1 GW)	~90	~$750M	**+$35 / sh**
+2 contracts	~130	~$1.05bn	**+$70 / sh**

Power is a free call option: we see ~75% odds of another order within 12 months, and each ~1 GW contract adds ~$35 / share.

Source: Jereh filings / order ledger, Company releases, TCEQ / MDEQ filings, Cleanview, Epoch AI, DCD, GE Vernova / Siemens Energy / MHI Q2'26, GridLab, JLL, FTAI calls

1. Site-level P = S × [1 – Π(1 – p_i)] + (1 – S) × P(E | shock), S = 0.855, 37 sites + residual; Chinese-supplier risk excluded. $ / share at 12x, 104.0M shares.

Valuation – 1-Year Target of $309 (+85%) With ~5x Reward-to-Risk

($ in millions, except per share)

We value FTAI as of Oct-27 on NTM EBITDA (¼ FY27E + ¾ FY28E) and net debt at Sep-27 – a 1-year hold.

Base case: sum of the parts at Oct-27

Segment	NTM EBITDA	EV / EBITDA	EV	$ / share
Aerospace Products	1,825	14.0x	25,552	$245.6
FTAI Power	788	10.0x	7,875	$75.7
Aviation Leasing + SCI	444	9.0x	3,994	$38.4
Corporate & eliminations	(213)	12.2x	(2,608)	($25.1)
Enterprise value	**2,843**	**12.2x**	**34,813**	**$334.6**
(–) Net debt (Sep-27E)			(2,566)	($24.7)
(–) Preferred			(65)	($0.6)
1-year target (equity / share)			**32,183**	**$309.3**
Return vs. $167.03				**+85%**

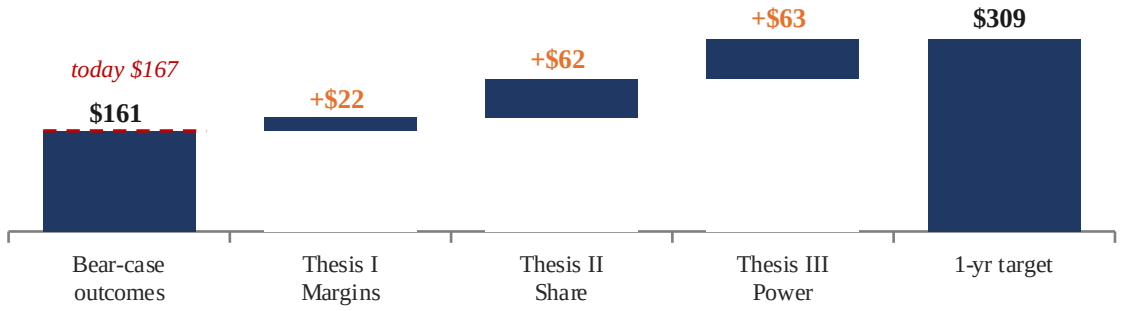
Multiples: Aerospace 14x (a discount to aftermarket peers), Power 10x (contract risk), Leasing + SCI 9x; corporate at the blended multiple.

Bear / base / bull

	Bear	Base	Bull
I. Margins	Short thesis right: stuck at 28.5%, no PMA	~30% is the trough; price + PMA via SCI rebuild	Light-work mix returns; full PMA ramp
II. Share	Fuel shock bites; share stalls at 15%	Retirements ~2%; FTAI catches OEM overflow	Overflow flows to FTAI; 25% share
III. Power	Ramp slips; half the JV economics	Signed order delivered; ramp to 90 units	One more ~1 GW contract
Fraud discount	Persists	Partly closes	Fully closes
1-yr target	**$114**	**$309**	**$430**
Return / probability	**–32%** / 20%	**+85%** / 60%	**+157%** / 20%

Probability-weighted: $294 (+76%)
Reward / risk: +157% / –32% ≈ 4.9x

Today's $167 ≈ the bear case at our multiples ($161) – each thesis then adds value: margins +$22, share +$62, Power +$63.



Cross-checks

DCF rolled 1 yr	Target
Bear	$111
Base	$337
Bull	$425

Ex-Power base: **$239**, 43% upside

EV / NTM: 10.2x today → 12.2x

Base target: Aero × Power multiple

Aero \ Power	6x	8x	10x	12x
12x	$249	$263	$277	$291
14x	$281	$295	**$309**	$323
16x	$314	$328	$342	$356

12x Aero, 6x Power: **$249**, 49% upside

Base $309 (+85%) in 12 months; probability-weighted $294 (+76%); bear $114 (–32%) – roughly 5x reward-to-risk.

Source: FTAI filings; $167.03 (10/2/26); 104.0M shares

1. NTM ≈ ¼ FY27E + ¾ FY28E. Bridge: each thesis's model drivers switched bear → base in order, at base multiples.

Catalysts & Risks – Risks Sit in the Bear Case; Catalysts Land Within the Hold

Risks	Mitigants
Margins keep falling (Thesis I) Heavier workscopes and a thinning supply of cheap engines take Aerospace margin below 30%, and the market keeps reading every print as the short thesis unwinding. **Value at risk:** ~$22 / share (Thesis I, bear vs. base).	**Little cheap stock left to unwind** Leasing-sourced engines are <8% of inventory and flows now run back to leasing. Heavy mix is capacity-capped and United is signed. Our bear case holds 28.5% – and that outcome is $161, about today's price.
Fraud overhang never clears (Thesis I) Muddy Waters or a follow-on short revisits inventory accounting; the governance discount persists even if margins hold. **Value at risk:** each turn of Aerospace multiple is ~$16 / share.	**Claims reviewed; capital returned** Audit-committee review found the claims without merit; no restatement. Management is buying back stock ($500M, Sep-26) and the 10-Q transfer disclosures let anyone track the stock.
CFM56 retires faster or LEAP catches up (Thesis II) The 2026 fuel shock or LEAP durability fixes push airlines to park CFM56s; independents (StandardAero, ST Eng., SRT, MTU) take the overflow instead of FTAI. **Value at risk:** ~$62 / share (Thesis II).	**Retirements falling; FTAI's edge is speed** GE's 2026 retirements run 1.5–2% vs. an original 3–4% plan; parked CFM56s are down since March. Retired jets become FTAI feedstock (WestJet). A 5–25 day swap with owned parts beats a 120–180 day shop visit.
Power slips or the buyer walks (Thesis III) Mod-1 deliveries slip past Nov-27, output misses spec, or – like Crusoe with Boom – the customer walks. Jereh's Chinese ownership adds tariff / supply-chain risk. **Value at risk:** ~$63 / share (Thesis III).	**Signed, paid for, and not in the price** Signed PO with advance and milestone payments; output penalty capped at 10%. Base case uses 45 units vs. ~58 implied by the order. Jereh packages in the US, Canada and UAE. Ex-Power, the target is still $239, 43% upside.

Catalysts

Two clean ~30% prints and a second Power order re-rate the stock within 12 months.

GE Q3 call (late Oct-26) | Thesis II
CFM56 retirement and shop-visit update; confirms the 2,300–2,400 visit plateau

FTAI Q3'26 (late Oct-26) | Thesis I
First print after the reset: margin ≥~30%, modules on track for 1,200, PMA usage

Investor day (10-Dec-26) | I, II, III
2027 framework: 1,700 modules, Jakarta / Cairo ramp, SCI II size, Power backlog

Q4'26 + FY27 guide (Feb-27) | Thesis I
Second ~30% print: 30% stops reading as a waypoint

Power deliveries / new order (2027) | III
First revenue from the $1.465bn order; a second order (~75% odds in 12M) adds ~$35 / share

Source: Company Filings and Calls, Muddy Waters, GE Aerospace, J&F order release (Jul-26), TechCrunch (Boom–Crusoe)

1. Value at risk from the valuation bridge (bear → base by thesis). FTAI Q3 date to confirm (26- or 29-Oct).

Appendix: How We Used AI – Scrapes at Scale, Judgment Kept Human

AI let four analysts build datasets the street doesn't have – every number it pulled was traced back to a primary source.

Workstream	What AI did	What it produced	Used on
Repair-price scrape	Parsed SR Technics CFM56 catalogues (2024–26) and matched repair packages line by line across years	3,404 matched packages: 3,376 rose, 1 fell → ~6% / yr escalator	Industry
10-Q footnote extraction	Pulled leasing ↔ inventory transfers from every quarter's non-cash cash-flow disclosures	Q1'26 transfers $89.6M vs. ~$1.4bn of inventory; flow now reverses	Thesis I
Outsourcing flip tracker	Scraped releases, filings and trade press for 14 tier-1 shops; classified each shop's CFM56 / LEAP stance	Positioning map: OEMs pulling back, independents adding	Thesis II
Test cell tracker	Searched shop announcements and trade press for engine test cells; tagged engine types per cell	18 cells: 9 adapted to LEAP, 0 dropped CFM56	Thesis II
Fuel & retirement check	Assembled jet-fuel series, GE / Safran commentary, airline capacity and hedge disclosures	Fuel up ~2.3x, parked CFM56s falling	Thesis II
AI campus & permit screen	Read TCEQ / MDEQ permits, utility filings and project trackers; scored 37 sites on 7 win factors	Site-level next-order model: ~75% odds in 12M	Thesis III
Jereh order ledger	Translated Chinese-language filings and press (Jiemian, NBD, TMTPost) into one reconciled ledger	7 orders, $2.6bn; J&F routing share for the Poisson check	Thesis III
Grid gap model	Compiled NERC LTRA demand vs. capacity and 67 hyperscaler power agreements by region	8–47 GW reserve shortfall from 2029	Thesis III

AI did the reading and the arithmetic; the team made every call that moves the price target.

Where AI helped

- **Scale:** thousands of catalogue lines and dozens of filings read in days, not weeks
- **Reach:** Chinese-language and state-permit sources the street rarely reads
- **Consistency:** one model feeds every slide; AI re-checked each figure across the deck

Guardrails we kept

- **Source or cut:** every AI-pulled number was checked against the document; claims with no source were dropped
- **Say what we didn't find:** no public case of an OEM cutting CFM56 cells – so we frame it as LEAP sharing slots
- **Human judgment:** probabilities, win scores, multiples and cases were set by the team; public information only

AI widened what we could check; it never decided what we believe – the thesis rests on sourced, team-verified data.

Source: Team diligence files: flip tracker, test cell tracker, Power next-contract model, repair-price scrape; sources as cited on each slide